UNIT II

FINANCIAL MARKETS - I

5 CHAPTER

CAPITAL MARKET

முதலிலார்க ஊதிய மில்லை மதலையாஞ்
சார்பிலார்க் கில்லை நிலை.

–குறள் 449

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The There can be no gain to those who have no capital; and in like manner there can be no permanence to those who are without the support of adherents.

Learning Objectives

To enable the students to understand the

- Meaning and definition of Capital Market
- Characteristics of Capital Market
- Functions of Capital Market
- Indian Capital Market Evolution and Growth
- New Financial Institutions

Chapter Synopsis

5.01 Meaning and Definition

5.02 Characteristics of Capital Market

5.03 Kinds of Capital Market

5.04 Functions and Importance of Capital Market

5.05 Indian Capital Market – Evolution and Growth

5.06 New Financial Institutions

The term capital market refers to the facilities and institutional arrangements through which long-term funds, both debt and equity are raised and invested. It consists of a series of channels through which savings of the community are made available for industrial and commercial enterprises and for the public in general. It directs these savings into their most productive use leading to the growth and development of the economy. The capital market consists of development banks, commercial banks and stock exchanges. An ideal capital market is one where finance is available at reasonable cost. The process of economic development is facilitated by the existence of a well functioning capital market.

5.01 Meaning and Definition

Capital market is a market where buyers and sellers engage in trade of financial securities like bonds, and stocks. The buying/selling is undertaken by participants such as individuals and institutions.Capital market forms an important core of a country's financial system.

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